

TECHM — Tech Mahindra Ltd

Sector: Information Technology | Sub-sector: IT Services

Tech Mahindra Ltd provides comprehensive range of IT services, including IT enabled service, application development and

ROE	ROCE	NPM	D/E	FCF (Cr)	Rev CAGR 5Y
9.0%	9.2%	4.6%	0.10	5,058	8.4%

10-Year Financial Trend

Year	Revenue	Profit	ROE	ROCE	FCF
2015-03	22,621	2,659	21.7	27.7	583
2016-03	26,494	3,027	20.7	22.3	1,684
2017-03	29,141	2,851	17.3	18.0	1,178
2018-03	30,773	3,786	20.1	17.1	235
2019-03	34,742	4,289	21.1	23.1	2,328
2020-03	36,868	3,897	17.9	15.9	5,439
2021-03	37,855	4,353	17.5	19.2	2,661
2022-03	44,646	5,630	20.9	22.0	5,765
2023-03	53,290	4,857	17.4	18.9	5,346
2024-03	51,996	2,397	9.0	9.2	5,058

Financial health score: 37.4 | Band: Needs Attention

Balance Sheet & Cash Flow Intelligence

Recent Balance Sheet

Year	Equity	Debt	Assets	Liabilities
2021-03	24,865	2,901	39,602	39,602
2022-03	26,886	2,618	44,416	44,416
2023-03	27,924	2,740	45,827	45,827
2024-03	26,669	2,537	43,149	43,149
2024-09	26,446	2,035	42,827	42,827

Recent Cash Flow

Year	CFO	CFI	CFF	Net Cash
2020-03	4,358	1,081	-4,466	974
2021-03	8,094	-5,433	-2,987	-326
2022-03	5,285	480	-4,667	1,098
2023-03	5,572	-226	-5,078	267
2024-03	6,376	-1,318	-4,767	291

Capital allocation: Reinvestor / Returns

CFO quality score: 100 | CapEx intensity: 2.5% | FCF conversion: 112.3%

Pros

Positive free cash flow in the latest available year.; Free cash flow has remained positive for five consecutive years.; Operating cash flow exceeds reported profit, supporting earnings quality.; Interest coverage exceeds 5x.

Cons

Profit CAGR is negative over five years.; Dividend payout exceeds 100% of reported profit.

